

Order Finding Categorical Subject-Matter Waiver and Compelling Production by April 1, 2026

United States District Court for the Eastern District of North Carolina

Rhea Calder v. Cinder Lake Health Network, Inc.

Civil Action No. SYN-EDNC-25-CV-0882

Docket Entry 39 — Filed March 25, 2026

The Court grants Calder's motion to compel in substantial part. It finds that Cinder Lake's August 21, 2025 compliance response intentionally invoked outside counsel's review, announced a conclusion about Calder's billing reports, and described remediation. The Court concludes that those statements effected subject-matter waiver as to the investigation files addressing the same topics.

Cinder Lake shall produce the complete memorandum, source communications, drafts, litigation assessments tied to the investigation, and remediation advice by April 1, 2026—seven calendar days after this order.

Background and Materials Considered

The Court considers the August 21 letter, nonprivileged chronology, public and provisionally sealed memorandum and log counterparts, briefs, certificates, and March 24 hearing. The January 9 Rule 502(d) order governs later litigation disclosures but does not retroactively change the letter.

The Court accepts that the January 29 and February 5 exchanges occurred outside CM/ECF and that all four exhibit counterparts were filed or lodged February 26. The access procedure does not affect the merits of waiver.

Governing Principles

Federal common-law privilege applies through Rule 501 because Calder's only claim arises under federal law. The privilege proponent bears the burden of establishing protection. Rule 502(a) limits subject-matter waiver to an intentional disclosure, the same subject, and fairness.

Attorney-client privilege protects qualifying confidential communications, and Rule 26(b)(3) protects qualifying work product. Underlying facts remain discoverable. The Court concludes, however, that an intentional public account attributed to counsel may communicate substance without quoting exact words.

The Court's Disclosure Finding

The letter did not quote counsel, a witness, or a legal recommendation. Nonetheless, the Court treats the sequence—outside counsel reviewed Calder's reports, Cinder Lake announced no substantiated systemic knowing practice, and remediation followed—as disclosure of the investigation's essential assessment.

The Court therefore equates the announced corporate conclusion and action with disclosure of privileged advice supporting them. It rejects Cinder Lake's position that a protected communication must be identified separately before same-subject analysis.

Categorical Scope

The waived subject is the investigation of Calder's federal-program billing reports, the evidentiary basis for Cinder Lake's announced conclusion, and the reasons for identified remediation. In the Court's view, fairness requires the complete context rather than selected public statements.

The waiver extends categorically to the final memorandum, counsel-directed interview communications, requests and responses for advice, drafts, litigation assessments tied to the investigation, and remediation advice listed in DE29-S2. The Court does not conduct entry-specific severability review.

Production Command

Cinder Lake shall produce the complete investigation files identified in Requests 12 through 14 no later than 5:00 p.m. Eastern time on April 1, 2026. Production shall include the twenty logged items and complete memorandum, together with attachments responsive to the defined subject.

The January 9 protective and Rule 502(d) order will govern handling after production. That protection against further waiver does not restore confidentiality as between Calder and Cinder Lake once the compelled production occurs.

Related Discovery and Sealing

The Court denies Calder's request for a prospective ruling that every future communication concerning billing, investigation, employment, or remediation is discoverable. Requests not yet adjudicated remain subject to relevance, proportionality, privilege, work product, and Rule 37 process.

The complete exhibits remain restricted pending production and any further order. Public counterparts and briefs remain available. This sealing treatment prevents premature public exposure but does not stay party-to-party production.

Conclusion

Calder's motion is GRANTED as to categorical waiver and production of the existing investigation files, and DENIED insofar as it seeks a blanket rule for all future related discovery. Cinder Lake's motion to seal the complete exhibits is GRANTED pending further order.

Production is due April 1, 2026. No stay enters automatically. SO ORDERED March 25, 2026 by **Evelyn Harrow**, Fictional United States District Judge.